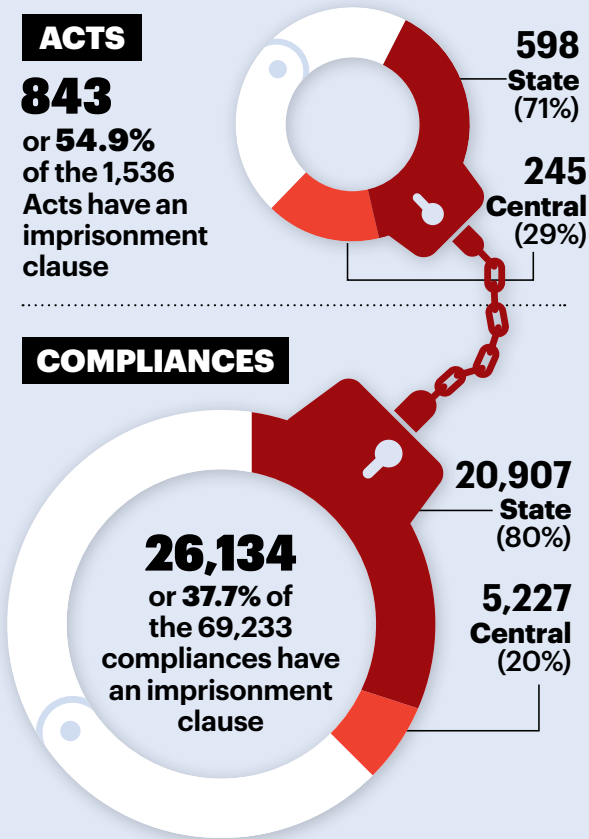
THE THREAT OF IMPRISONMENT

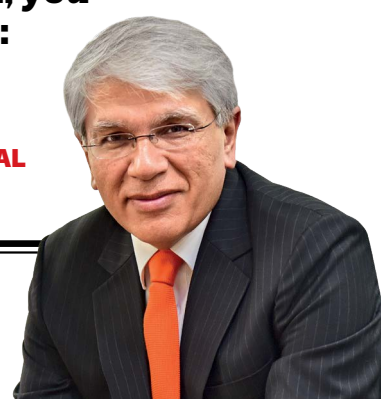
Two of every five obligations in laws enacted by the Centre and the states bear imprisonment clauses for non-compliance



***Note:** Acts refer to regulatory laws–pertaining to labour, finance, environment etc.–passed by the central or state legislatures; compliances are the rules, regulations, guidelines etc. therein that businesses have to adhere to; filings are financial and non-financial information, including financial statements, returns etc., to be filed annually*

"We don't have land, labour or capital shortage. Infrastructure, skills are no constraint. By elimination, you get one reason: regulatory cholesterol"

– MANISH SABHARWAL
Chairman, Co-founder, TeamLease Sevices



list, but transfer of property falls under the concurrent list, where both the Centre and states can legislate. Likewise, labour laws demand a stupendous 32,542 compliances apart from 3,048 filings under 463 Acts, some of which fall in the concurrent list. The same goes for electricity.

Talking to INDIA TODAY at his office in Bengaluru suburb Koramangala, Manish Sabharwal, chairman and co-founder of Teamlease Services, offered a deep dive into why Indian businesses lag behind their global peers. "Of India's 63 million enterprises, 12 million don't have an office, and their staff work from home. Only 8 million of the 12 million registered for goods and services tax (GST) pay tax and only one million pay social security. There are only 29,000 companies in India with paid-up capital of more than Rs 10 crore," he says. Why do we have very few such companies? "We don't have a shortage of land, labour or capital. We don't have cultural problems. India exported more software than Saudi Arabia did oil in 2021. Infrastructure and skills are no longer binding constraints. So, by elimination, you reach the real reason—regulatory cholesterol." TeamLease spent nearly four years conducting extensive research to build a comprehensive database of all compliance requirements for Indian businesses. "The obvious first reaction from all civil servants, when we came up with the 69,233 number, was that we were lying. So I asked them to tell us which ones to remove from the database. Nobody came back," he says.

The regulatory drag comes at a heavy cost. "These compliances inflate operating costs, make doing business a more onerous, frustrating experience and suppress entrepreneurial momentum," says Naushad Forbes, co-chairman of the Pune-based engineering and instrumentation firm Forbes Marshall. They also affect the profitability and viability of businesses, especially micro, small and medium enterprises (MSMEs), forcing many of them to close shop. For MSMEs with annual turnovers of up to Rs 100 crore, the compliance burden can range from Rs 11-16 lakh per year. It is even higher for fintech firms—between Rs 96 lakh and Rs 1.17 crore per year for small companies, and Rs 2.5-3.2 crore for larger ones, according to Teamlease estimates. No wonder 35,567 MSMEs registered on the central government's Udyam portal shut down in FY25 (until February), with many citing regulatory hurdles as the key reason. Foreign direct investment (FDI), too, dropped from $84.8 billion in FY22 to $70.95 billion in FY24.

The Federal Blockade

Experts believe compliances were framed and implemented with worthy intentions, but collectively have now become a paralysing burden. "It's the culmination of thousands of well-intended regulations that have become debilitating," says Forbes. And you encounter them at every step, be it land, labour or inspection. Regulations can also vary across